

# **MODULE 1**

## **INDUSTRY OVERVIEW**

# CHAPTER 1

## The Investment Industry: A Top-Down View

**LESSON 1 :  
INTRODUCTION**

**LESSON 2 : THE  
FINANCIAL SERVICES  
INDUSTRY**

**LESSON 3 : FINANCIAL  
INSTITUTIONS**

**LESSON 4 :  
HOW ECONOMIES  
BENEFIT FROM THE  
EXISTENCE OF THE  
INVESTMENT INDUSTRY**

**LESSON 5 : HOW  
INVESTORS BENEFIT FROM  
THE EXISTENCE OF THE  
INVESTMENT INDUSTRY**

**LESSON 6:  
INVESTMENT  
INDUSTRY  
PARTICIPANTS**

**LESSON 7: KEY FORCES  
DRIVING THE  
INVESTMENT INDUSTRY**

# CHAPTER 1

## The Investment Industry: A Top-Down View

**LESSON 1 :  
INTRODUCTION**

LESSON 2 : THE FINANCIAL  
SERVICES INDUSTRY

LESSON 3 : FINANCIAL  
INSTITUTIONS

LESSON 4 :  
HOW ECONOMIES  
BENEFIT FROM THE  
EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 5 : HOW  
INVESTORS BENEFIT FROM  
THE EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 6:  
INVESTMENT INDUSTRY  
PARTICIPANTS

LESSON 7: KEY FORCES  
DRIVING THE  
INVESTMENT INDUSTRY

# LESSON 1 : INTRODUCTION

## LESSON 1 : INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## How Savers Become Investors & the Role of the Financial System

- People work to earn money for living expenses and to support dependents.
- When individuals spend less than they earn, they generate savings.
- Savings can be invested to earn a return, turning savers into investors.
- Example: A Canadian entrepreneur needs money to start a business.
- ✓ She looks for savers willing to invest in her new venture.
- ✓ After weeks of searching, she finds a friend who believes he will earn more back than he lends.

The process of finding investors manually is slow and inefficient.

A financial system exists to make this process faster and easier.

- It connects people who need money (borrowers) with people who have savings (investors).
- This system enables businesses, governments, and individuals to obtain funding efficiently.

# CHAPTER 1

## The Investment Industry: A Top-Down View



LESSON 1 :  
INTRODUCTION

LESSON 2 : THE FINANCIAL  
SERVICES INDUSTRY

LESSON 3 : FINANCIAL  
INSTITUTIONS

LESSON 4 :  
HOW ECONOMIES  
BENEFIT FROM THE  
EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 5 : HOW  
INVESTORS BENEFIT FROM  
THE EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 6:  
INVESTMENT INDUSTRY  
PARTICIPANTS

LESSON 7: KEY FORCES  
DRIVING THE  
INVESTMENT INDUSTRY

# LESSON 2 : THE FINANCIAL SERVICES INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## How the Financial System Links Savers and Spenders

### Role of the Financial System

- Connects **savers** (those with extra money) and **spenders** (those who need money).
- The **financial services industry** provides products and services that help channel funds between them.
- Terms such as *money, cash, funds, capital* are used interchangeably.

### Who Are Savers and Spenders?

- **Savers:** Individuals, companies, and governments with surplus money to invest.
- **Spenders:**
  - Individuals—borrow for homes, education, or other expenses.
  - Companies—borrow for land, buildings, equipment.
  - Governments—borrow when tax revenues are insufficient.

# LESSON 2 : THE FINANCIAL SERVICES INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## How the Financial System Links Savers and Spenders

### Types of Assets for Investment

- Real assets: Physical items with value (land, buildings, machinery, gold).
  - Also called *physical capital*; used in production.
- Financial assets: Claims on real or financial assets.
  - Example: A share represents ownership in a company.
  - Collection of financial assets = portfolio.

### Securities (Tradable Financial Assets)

- Debt securities (bonds / fixed-income securities):
  - Represent loans from investors (lenders) to borrowers.
  - Borrowers repay principal + interest.
  - Investors are called bondholders.

# LESSON 2 : THE FINANCIAL SERVICES INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## How the Financial System Links Savers and Spenders

### Equity securities (stocks/shares):

- Represent ownership in a company.
- No obligation for companies to repay shareholders or pay dividends.
- Investors expect returns through price appreciation and possible dividends.

### Financial Markets

- Markets are places where buyers and sellers meet to trade.
- Securities markets/financial markets facilitate buying and selling of financial assets.
- These markets enable efficient issuance and trading of securities.

### Flow of Funds

- The financial services industry channels money from providers of capital (savers) to users of capital (borrowers).
- This flow supports economic growth by funding productive activities.



# LESSON 2 : THE FINANCIAL SERVICES INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## How the Financial System Links Savers and Spenders

### Direct Finance

- Occurs when savers lend or invest directly with borrowers through financial markets.
- Providers of capital have a direct claim on users of capital.

*Example: Owning Nestlé shares gives you direct ownership rights.*

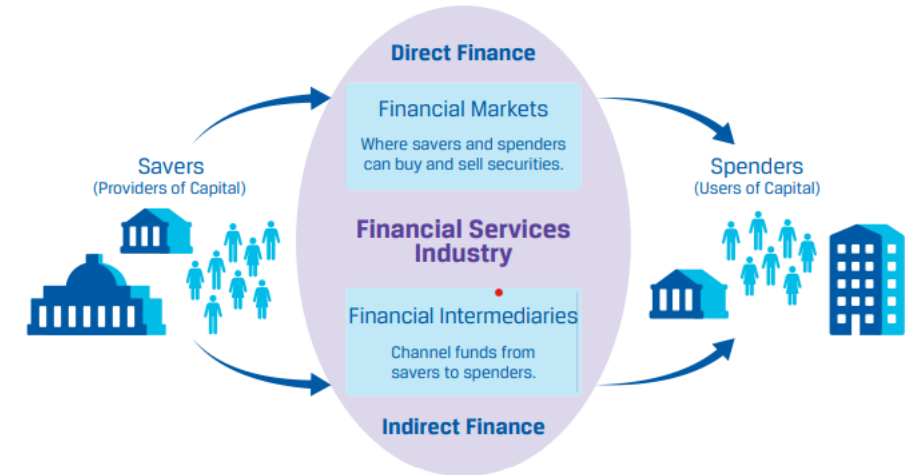
### Indirect Finance

- Happens when savers and borrowers interact through financial intermediaries.
- Financial intermediaries act as middlemen, so savers do not have direct claims on borrowers.
- Intermediaries may also create new financial products based on other assets.

### Role of Financial Intermediaries

- Help savers and borrowers **find each other** efficiently.
- Useful because many savers lack time, expertise, or resources to:
  - Evaluate potential borrowers,
  - Monitor financial health,
  - Assess credit risk.
- Intermediaries can **identify, match, and monitor** borrowers more efficiently and at lower cost.
- They reduce overall transaction costs and improve the functioning of the financial system.

Exhibit 1 Overview of the Financial Services Industry



# CHAPTER 1

## The Investment Industry: A Top-Down View

LESSON 1 :  
INTRODUCTION

LESSON 2 : THE FINANCIAL  
SERVICES INDUSTRY

LESSON 3 : FINANCIAL  
INSTITUTIONS

LESSON 4 :  
HOW ECONOMIES  
BENEFIT FROM THE  
EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 5 : HOW  
INVESTORS BENEFIT FROM  
THE EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 6:  
INVESTMENT INDUSTRY  
PARTICIPANTS

LESSON 7: KEY FORCES  
DRIVING THE  
INVESTMENT INDUSTRY

# LESSON 3 : FINANCIAL INSTITUTIONS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## Banks

### Role of Financial Institutions

- Financial institutions act as financial intermediaries, collecting money from savers and investing it in financial assets.
- Two major types: banks and insurance companies.

### 3.1 Banks — Key Points

#### How Banks Operate

- Collect deposits from savers and transform them into loans to borrowers.
- Savers have a claim on the bank, and the bank has a claim on the borrower → *indirect finance*.
- Banks are also called deposit-taking institutions (depository institutions).

#### What Banks Provide

- Offer transaction services:
  - Check writing, check cashing, ATM services, electronic banking.
- May pay interest on deposits.
- Can raise additional funds by issuing bonds or stocks in financial markets.

# LESSON 3 : FINANCIAL INSTITUTIONS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

**LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES**

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## Banks

### Types of Banks

- **Building societies / Savings & loan associations:**

- Specialize in long-term residential mortgages.

- **Retail banks:**

- Serve individuals and small businesses.
- Provide savings accounts, cards, mortgages, personal loans.

- **Commercial banks:**

- Serve companies and financial institutions; offer a wide range of services.

- **Co-operative / Mutual banks:**

- Owned by members; often provide mortgages and loans to members.
- May offer broader services similar to commercial banks.

### Benefits to Depositors

- Earn returns (interest, transaction services, dividends, capital appreciation).
- Avoid tasks like evaluating borrowers, monitoring creditworthiness, and managing loans.

### Risk & Responsibility

- If borrowers default, banks must still repay depositors and lenders.
- If borrower repayments fall short, banks must use **owners' capital** to cover losses.
- Encourages banks to lend prudently, though failures do occur (e.g., pre-2008 crisis).
- In 2008, many banks took excessive risks that were overlooked or misunderstood by investors.

# LESSON 3 : FINANCIAL INSTITUTIONS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

**LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES**

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## Insurance Companies

### Role of Insurance Companies

- Help individuals and companies manage and offset risks.
- Provide insurance contracts (policies) that pay out if certain losses occur.
- Clients pay upfront, non-refundable premiums for protection against future risks.

### Types of Insurance Companies

1. Property & Casualty (P&C) insurers
  1. Cover homes, cars, businesses, and legal liabilities.
2. Life insurers
  1. Pay out on death or severe injury of the insured person.

### Insurance as a Financial Intermediary

- Insurers connect:
  - Buyers of insurance → who want to transfer risk
  - Providers of capital → who are willing to bear risk for a return
- Insurers manage:
  - Premium collection
  - Claims assessment & settlement
  - Monitoring of insured risks

# LESSON 3 : FINANCIAL INSTITUTIONS

## Insurance Companies

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

**LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES**

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### Market Issues Insurers Manage

- Fraud: False or intentional claims to receive payouts.
- Moral hazard: Insured individuals become less careful, increasing likelihood of losses.
- Adverse selection: High-risk individuals are more likely to buy insurance, raising insurer costs.

### Insurance Companies as Major Investors

- Invest large portions of collected premiums in financial markets.
- These investments help insurers meet future claim payments.

# CHAPTER 1

## The Investment Industry: A Top-Down View



LESSON 1 :  
INTRODUCTION

LESSON 2 : THE FINANCIAL  
SERVICES INDUSTRY

LESSON 3 : FINANCIAL  
INSTITUTIONS

**LESSON 4 :  
HOW ECONOMIES  
BENEFIT FROM THE  
EXISTENCE OF THE  
INVESTMENT INDUSTRY**

LESSON 5 : HOW  
INVESTORS BENEFIT FROM  
THE EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 6:  
INVESTMENT INDUSTRY  
PARTICIPANTS

LESSON 7: KEY FORCES  
DRIVING THE  
INVESTMENT INDUSTRY

## LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### Investment Industry Overview

- The investment industry is a specialized subset of the broader financial services industry.
- Its core role is to help savers invest their money and help spenders raise capital in financial markets.
- It includes all key participants involved in facilitating the flow of funds between savers and borrowers.
- Major participants—such as different types of investors and service providers—are described in Section 6 of the chapter.
- The specific activities and functions of these service providers are examined in detail in the Structure of the Investment Industry chapter.



## LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### 4.1 Economic Systems — Summary

#### General Concepts

- The investment industry functions **within broader economic systems**, which differ across countries.
- Economic systems range from **pure capitalism** to **centrally planned economies**.
- Main goal of all systems: **efficient allocation of scarce resources** to their most productive uses.

#### Scarcity & Resource Allocation

- Resources needed for production include **labour, real assets, and financial capital**.
- Human wants are **unlimited**, but resources are **limited**, requiring choices.
- Scarcity forces decisions at every level:
  - Individuals (e.g., food vs. holiday)
  - Companies (existing product vs. new product)
  - Governments (healthcare vs. defence vs. infrastructure)

#### Three Fundamental Economic Questions

Every economic system must answer:

- 1.What** goods/services should be produced?
- 2.How** should they be produced?
- 3.Who** should receive them?

- Efficient allocation occurs when scarce resources satisfy **consumer needs** most effectively.

## LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### 4.1 Economic Systems — Summary

#### Complementary Products

- Complementary products are goods that are used together.
- When the price of one complementary good decreases, demand for both products increases.
  - Example: Ink cartridges and printing paper
    - If ink cartridges become cheaper → people print more → buy more ink + more paper.
- Demand curves for complementary products move in the same direction.

#### Three Fundamental Economic Questions

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1. What goods/services should be produced?
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## LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### 4.1 Economic Systems — Summary

#### Capitalism

- Promotes private ownership of production and market-driven allocation of resources.
- In pure capitalism:
  - No government intervention.
  - Individuals and companies freely decide production and pricing.
  - Efficiency leads to economic growth and societal benefits.

#### Reality of Economic Systems

- Pure free-market capitalism exists only in theory.
- In practice, governments always play a role, but the extent varies:
  - Minimal involvement in many Western economies.
  - High government control in resource-dependent economies (e.g., some Middle Eastern, African, South American nations).
  - Transition economies shift from planned to market systems.
- China = State Capitalism:
  - Significant government ownership of major businesses.
  - Private businesses and market competition also present and growing.

## LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Fosters Economic Growth

#### Role of the Investment Industry

- Channels funds from savers to individuals, companies, and governments that need money for business expansion and projects.
- Enhances the efficient allocation of scarce resources in the economy.

#### Why the Investment Industry Is Essential

- Without it, savers would spend excessive time and resources searching for suitable investments, and companies would spend time searching for investors instead of improving business.
- This inefficiency would reduce economic productivity and growth.

#### Information Provision

- Investment professionals gather, process, and analyse information about:
  - Economies
  - Companies
  - Governments
  - Real and financial assets
- Helps investors determine the true value of investments.

## LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Fosters Economic Growth

#### Packaging Investment Opportunities

- Creates investment products and services tailored to investor needs.
- Makes it easier for savers to invest in diversified, well-structured products.
- Examples: mutual funds, ETFs, bonds, structured products, etc.

#### Providing Liquidity

- Liquidity = ability to buy/sell assets quickly **without significantly affecting the price**.
- The investment industry enhances liquidity through:
  - Actively traded markets
  - Market makers
  - Trading platforms
- High liquidity gives investors **confidence** that they can trade fairly and efficiently.

## LESSON 4 : HOW ECONOMIES BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Fosters Economic Growth

#### Impact on Economic Growth

- By improving access to capital, information, liquidity, and efficient allocation:
  - More funds flow into productive investments.
  - Businesses expand and innovate.
  - Economic growth increases.
  - Society benefits through more jobs, better services, and higher living standards.

# CHAPTER 1

## The Investment Industry: A Top-Down View

LESSON 1 :  
INTRODUCTION

LESSON 2 : THE FINANCIAL  
SERVICES INDUSTRY

LESSON 3 : FINANCIAL  
INSTITUTIONS

LESSON 4 :  
HOW ECONOMIES  
BENEFIT FROM THE  
EXISTENCE OF THE  
INVESTMENT INDUSTRY

**LESSON 5 : HOW  
INVESTORS BENEFIT FROM  
THE EXISTENCE OF THE  
INVESTMENT INDUSTRY**

LESSON 6:  
INVESTMENT INDUSTRY  
PARTICIPANTS

LESSON 7: KEY FORCES  
DRIVING THE  
INVESTMENT INDUSTRY

## LESSON 5 : HOW INVESTORS BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6 :  
TRADING  
SERVICES

LESSON 7 :  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

In a well- functioning investment industry, investors are treated fairly and honestly. As a result, they have confidence to commit their savings to investments. Ideally, investment industry participants compete fairly for investors' business, and they are competent and trustworthy in advising on investment matters and managing investment products and

### How the Investment Industry Serves Investors

#### 1. Wide Range of Investment Opportunities

- A well-functioning investment industry offers diverse investment options to meet different investor needs.
- Includes debt securities, equity securities, derivatives, and alternative investments.
- Investors can also use pooled investment vehicles (mutual funds, ETFs, etc.) for diversified, professionally managed exposure.
- Industry participants can package real and financial assets into new products (e.g., mortgage-backed securities via securitisation).



# LESSON 5 : HOW INVESTORS BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## How the Investment Industry Serves Investors

### .Broad Range of Investment Services

- Investors gain access to essential services such as:
  - Financial planning
  - Portfolio management
  - Information and research services
  - Trading and execution services
- These services help investors make better decisions and execute them effectively.

### Competitive Markets

- Competitive financial markets ensure fair prices, where no participant can unfairly influence supply or demand.
- Competition encourages efficiency, better products, and lower prices for investment services.

### Liquidity and Low Transaction Costs

- Liquid markets allow investors to buy or sell assets quickly without affecting their price.
- Low transaction costs increase investor returns by reducing the cost of trading.

## LESSON 5 : HOW INVESTORS BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Serves Investors

#### Reliable and Timely Information

- Investors need accurate and timely information about companies, governments, and markets.
- Industry participants help collect, analyse, and distribute this information.
- Timely information is crucial as security prices react quickly to new data.

#### Effective Risk Management

- Investing always involves risk; the industry helps investors assess risk and understand risk–return trade-offs.
- Provides risk-reducing products, such as insurance-like financial contracts.
- Professionals offer strategies and tools to mitigate investment risks.
- Investors who wish to take on more risk can do so through structured investment products.

# LESSON 5 : HOW INVESTORS BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## Need for Trust, Laws, and Regulations

### Trust as the Foundation

- Trust is essential for the proper functioning of the financial system.
- Savers must feel confident they will be treated fairly by:
  - Borrowers
  - Advisors
  - Product and service providers
  - Investment managers
- Without trust, savers hesitate to invest → economic and societal harm.

### Role of Laws and Regulations

- Laws are created by legislative bodies (e.g., US Congress, UK Parliament).
- Regulations are issued by regulatory agencies (e.g., CSA, AMF, SFC).
- Must be enforceable to be effective.
- Key objectives of laws and regulations:
  - Prevent fraud
  - Protect investors and market participants
  - Promote market integrity, fairness, and transparency

# LESSON 5 : HOW INVESTORS BENEFIT FROM THE EXISTENCE OF THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## Need for Trust, Laws, and Regulations

### Insider Trading Restrictions

- Trading on **non-public, price-sensitive information** is illegal in most jurisdictions.
- Example: An analyst with confidential merger information cannot trade until the news becomes public.
- Insider trading undermines fairness and market integrity.
- Violators face legal and regulatory penalties.

### Limitations of Laws and Regulations

- Laws cannot cover **every situation**.
- Market abuse and fraud may still occur.
- Therefore, additional safeguards are needed.

### Importance of Ethics and Professionalism

- Industry participants must act **ethically and professionally**, beyond just following rules.
- Organisations should promote **cultures of integrity**.
- Ethical behaviour protects industry reputation and maintains trust.
- Without ethics, savers invest less → negative impact on the **economy and society**.

### . Future Coverage

- Ethics and regulation topics are covered in detail in the Ethics and Regulation module.
- Compliance is further discussed in the Risk Management chapter.

# CHAPTER 1

## The Investment Industry: A Top-Down View

LESSON 1 :  
INTRODUCTION

LESSON 2 : THE FINANCIAL  
SERVICES INDUSTRY

LESSON 3 : FINANCIAL  
INSTITUTIONS

LESSON 4 :  
HOW ECONOMIES  
BENEFIT FROM THE  
EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 5 : HOW  
INVESTORS BENEFIT FROM  
THE EXISTENCE OF THE  
INVESTMENT INDUSTRY

**LESSON 6:  
INVESTMENT INDUSTRY  
PARTICIPANTS**

LESSON 7: KEY FORCES  
DRIVING THE  
INVESTMENT INDUSTRY

## LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### Key Investment Industry Participants

The investment industry includes many participants who:

- Help **spenders (companies/governments)** raise capital.
- Help **savers (individuals/institutions)** invest their money.

Anyone working in or using the investment industry will interact with multiple participant types, such as:

- Banks
- Investment managers
- Advisers
- Brokers
- Analysts
- Regulators
- Investment vehicles, etc.

## LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### Key Investment Industry Participants

- Sections **6.1 and 6.2** introduce the major participants in the industry.
- The broader curriculum explains:
  - ✓ How these participants operate
  - ✓ How they interact with investors
  - ✓ How they interact with one another
- **Example scenario:**  
Five years later, the Canadian entrepreneur's company has grown and now needs more capital for expansion.
- Internal cash flows are **not sufficient** to support new growth plans.
- The company must seek **external funding** from investors.
- The **financial services industry** helps:
  - ✓ The company raise capital to expand.
  - ✓ Investors participate in the company's success and growth.
- First, we look at **participants who help companies raise capital**.
- Next, we examine **investors** and how they invest their money with professional support.

## LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How Companies and Governments Raise Capital

- The Canadian company now needs more capital and decides to issue shares to the public.
- Until now, the company was private; issuing shares publicly will make it a public company.
- The company plans to list its shares on the Toronto Stock Exchange (TSX).
- Stock exchanges are regulated markets where buyers and sellers trade securities.

#### Role of Investment Banks

- The company hires an investment bank (merchant bank) to help raise capital.
- Investment banks specialise in assisting companies and governments with:
  - Equity issuances (selling shares)
  - Debt issuances (selling bonds)
- This first-time sale of shares to the public is called an Initial Public Offering (IPO).
- Investment banks match investor demand with the capital needs of companies/governments.
- They help design securities that are attractive to investors, allowing issuers to raise capital at lower cost

#### Determining the Share Price

- The investment bank helps decide the IPO price by assessing investor interest.
- Sell-side analysts (analysts working for the investment bank) research the company and competitors.
- They prepare reports for potential investors to generate demand for the shares.



# LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## How Companies and Governments Raise Capital

### Post-IPO Requirements

- Once public, the company must comply with:
  - TSX rules
  - Canadian laws and securities regulations
- The company must file:
  - **Quarterly financial statements**
  - **Audited annual financial statements**
- **Auditors** review internal controls and ensure financial information is:
  - Relevant
  - Reliable
  - Transparent
- High-quality financial reporting supports efficient, well-functioning financial markets.

## LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Helps Savers Invest Their Money

#### Two Broad Categories of Investors

- Individual investors → private persons who invest their own money.
- Institutional investors → organizations investing for themselves or on behalf of others.

#### Individual Investors

- Differ mainly based on investable assets.
- No universal global standard; classifications vary by:
  - Country
  - Currency
  - Investment firm
- Typically grouped into:
  - Retail investors → lowest investable assets; receive more *standardized* services.
  - High-net-worth (HNW) investors → higher investable assets; receive *customized* investment services.
- Services differ based on:
  - Wealth level
  - Investment expertise
  - Regulatory limitations

## LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Helps Savers Invest Their Money

#### Institutional Investors (Invest to advance their missions)

##### a. Pension Plans

- Manage assets to benefit current and future retirees (beneficiaries).

##### b. Endowment Funds

- Long-term investment funds supporting non-profit organizations (universities, hospitals, museums, etc.).

##### c. Foundations

- Grant-making organizations funded by donations and investment income.

##### d. Sovereign Wealth Funds (SWFs)

- Government-owned investment funds.
- Invest government surpluses from:
  - Excess tax revenue
  - Natural resource sales
  - Trade surpluses
- Aim to support long-term national financial stability.

## LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Helps Savers Invest Their Money

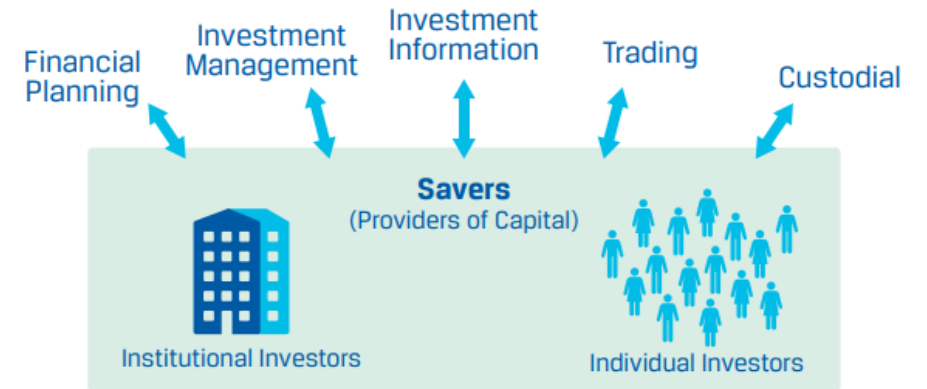
#### Institutional Investors (Invest on behalf of others)

- Include:
  - Investment firms
  - Banks
  - Insurance companies
- They pool capital from clients and invest according to mandates.

#### Common Needs Across Investor Types

- Despite differences in size, wealth, and goals, most investors need similar core services:
  - Financial planning
  - Investment advice
  - Portfolio management
  - Trading and execution
  - Reporting and performance evaluation

Exhibit 2 Investor Services



# LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

**LESSON 6:  
TRADING  
SERVICES**

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

## How the Investment Industry Helps Savers Invest Their Money

### Brokers and Dealers

- Brokers
  - Act as agents for investors.
  - Help buyers and sellers find each other.
  - Do not trade using their own capital.
- Dealers
  - Act as principals, trading with their own accounts (proprietary trading).
  - “Make markets” by buying from sellers and selling to buyers.
  - Provide liquidity by being ready to trade when investors want to transact.
- Both brokers and dealers help:
  - Increase liquidity.
  - Reduce transaction costs.

### Other Trading Service Providers

- Clearing houses & settlement agents
  - Confirm, match, and settle trades after they are executed.
- Custodians & depositories
  - Safely hold money and securities on behalf of clients.
  - Ensure assets are protected and properly recorded.

## LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Helps Savers Invest Their Money

#### Investment Research & Analysis

- Buy-side analysts
  - Work for institutional investors (e.g., asset managers, pension funds).
  - Analyze companies and markets to support investment decisions.
- Investment information providers
  - Include data vendors supplying market & company data.
  - Include research providers supplying reports and market insights.

#### Investment Services for Individual Investors

- Many retail investors lack time, expertise, or resources to manage investments.
- They seek professional support such as:
  - Financial planners → help determine financial goals and plan savings.
  - Investment managers / asset managers → manage portfolios and make investment decisions.

## LESSON 6 : INVESTMENT INDUSTRY PARTICIPANTS

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### How the Investment Industry Helps Savers Invest Their Money

#### 5. Investment Products for Small (Retail) Investors

- Many individual investors cannot hire personal managers but still want to invest.
- They use **investment products** created by:
  - Investment firms
  - Banks
  - Insurance companies
- Example: **Mutual funds**, which pool investor money and invest professionally.

# CHAPTER 1

## The Investment Industry: A Top-Down View



LESSON 1 :  
INTRODUCTION

LESSON 2 : THE FINANCIAL  
SERVICES INDUSTRY

LESSON 3 : FINANCIAL  
INSTITUTIONS

LESSON 4 :  
HOW ECONOMIES  
BENEFIT FROM THE  
EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 5 : HOW  
INVESTORS BENEFIT FROM  
THE EXISTENCE OF THE  
INVESTMENT INDUSTRY

LESSON 6:  
INVESTMENT INDUSTRY  
PARTICIPANTS

LESSON 7: KEY FORCES  
DRIVING THE  
INVESTMENT INDUSTRY



## LESSON 7 : KEY FORCES DRIVING THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### Forces Driving Change in the Investment Industry

#### Internal Forces (Driven by Industry Participants)

##### 1. Competition

- Competition is intense within the investment industry.
- Firms constantly innovate new products, services, and pricing structures.
- Performance pressure leads to continuous improvement and adaptation.

##### 2. Technology

- Technological advancements (especially computerization) have reduced trade-processing costs.
- Processing capacity has significantly increased, enabling high-volume trading.
- Technology supports creation and analysis of new investment products and vehicles.

## LESSON 7 : KEY FORCES DRIVING THE INVESTMENT INDUSTRY

LESSON 1 :  
INTRODUCTION

LESSON 2 : HOW  
THE INVESTMENT  
INDUSTRY  
PROMOTES  
SUCCESSFUL  
INVESTING

LESSON 3 :  
FINANCIAL  
PLANNING  
SERVICES

LESSON 4 :  
INVESTMENT  
MANAGEMENT  
SERVICES

LESSON 5 :  
INVESTMENT  
INFORMATION  
SERVICES

LESSON 6:  
TRADING  
SERVICES

LESSON 7:  
ORGANISATION  
OF FIRMS IN  
THE  
INVESTMENT  
INDUSTRY

### Forces Driving Change in the Investment Industry

#### External Forces (Driven by Outside Factors)

##### 3. Globalisation

- Investors increasingly diversify by investing outside their home countries.
- Foreign investments enhance global economic development.
- Global diversification boosts overall industry profitability.

##### 4. Regulation

- Trend toward stricter and more extensive financial regulation worldwide.
- Regulators across countries collaborate more to improve and harmonize global standards.
- Increased oversight impacts how securities are issued, traded, and managed.

